



English, Economics, Politics, and Philosophy

Unit 1 Evolution of Economics

Lesson 1.6: Should We Plan? (Part II)

I. Government Planning and John Maynard Keynes

Brief Recap: We've examined 18th-century economists like Smith and Malthus, who emerged with early industrialism, people who support industrialization and 19th-century figures like Ricardo and Marx, during peak capitalism in the West, notably the UK and USA. Next, we'll explore 20th and early 21st-century economists. During Keynes' analysis, capitalism, particularly the Smithian type with minimal government intervention, faced a crisis. Keynes criticized both Adam Smith and Karl Marx for this.

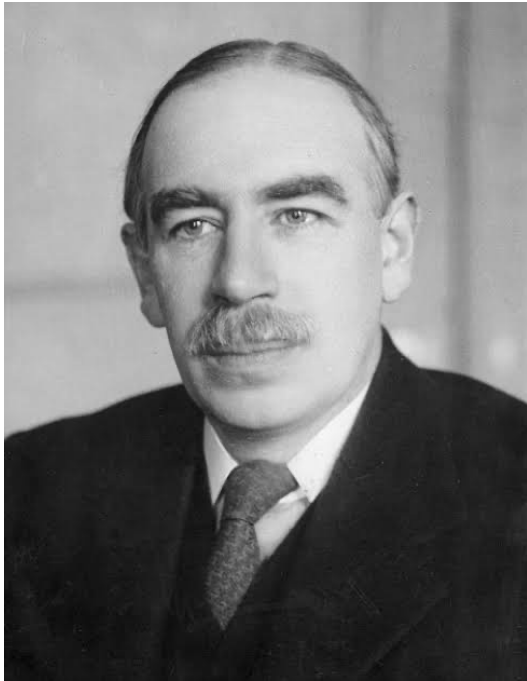
Smithian Crisis and the great depression

John Maynard Keynes (1883 –1946) was an English macroeconomics focus on aggregation economist and philosopher whose ideas fundamentally changed the theory and practice of macroeconomics and the micro = small/ macro = huge economic policies of governments. Originally trained in

mathematics, he built on and greatly refined earlier work on most of the concept we have learnt until to day belongs to microeconomics

business cycle is the graph showing societal economic activities

the **causes of business cycles**. One of the most influential economists of the 20th century, he produced writings that are the basis for the school of thought known as **Keynesian economics**, and its various offshoots. His ideas, reformulated



as New Keynesianism, are fundamental to mainstream macroeconomics. **He is known as the “father of macroeconomics”**.

Now, last time we learned about the Great Depression in the US. There was a program initiated during the time in an effort to counter the economic and social downturn, led

by President Franklin D. **Roosevelt**, called **The New Deal** (1933-1938). He was advised by Keynes exactly!

economics: microeconomics + macroeconomics + game theory

jobless 失業人口
Keynes wanted to address 2 problems:

1) **Unemployment**: by the time that Keynes is writing, many people think that Adam Smith-type of capitalism is not working. Why? **Because businesses are not investing, hence**

people are without jobs. Solution: gov't should create jobs.

This runs completely against Adam Smith's laissez-faire
stuck over there

2) **Stagnation**: Keynes noted that the economies (especially UK/USA) are not increasing due to the fact that there is no **DEMAND**.

no jobs - no wages/pays - no money - we can buy nothing
therefore no demand - people will be angry
THE MOST CRUCIAL DIFFERENCE BETWEEN ADAM SMITH and JOHN MAYNARD KEYNES is that Smith thought that SUPPLY COMES FIRST, WHEREAS KEYNES thought that DEMAND COMES FIRST.

Keynes suggest that we can do the following: gov't can create demand (by giving people money or jobs) and supply (if businesses don't invest, gov't should invest). **Keynes, therefore, believed in BIG GOVERNMENT.** Like Marx, Lord **Keynes** (he was an English aristocrat) **attacked Smith.** However, he also **disliked Marx and wanted to save capitalism from both extremes (of the left and the right).** By so doing, **Keynes was the father of WELFARISM**, i.e., welfare section of the political spectrum.

Keynes's unusual economics was effected by his unusual life. First, he was an aristocrat (he thought he was the best man to be in charge of anything); second, he was bisexual (first half of his life had male lovers, but later he married a woman) [during this time, it was a crime to be homosexual or **unconventional** bisexual]. In other words, he was **UN-ORTHODOX**, i.e., he **thought outside the box and created 'new economics'**. Keynes **macroeconomics** became world-famous after attacking his own gov't at the end of WWI: according to **Keynes, British and French should not punish Germany but they did. Keynes feared that this would lead to dictatorship in Germany. In 1930s, Germany elected Hitler and dictatorship.** In 1930s, English/American capitalistic-democracy is under heavy attack: a) by fascists (extreme Right wing groups, Hitler's Germany and Mussolini's Italy), b) by communists (extreme Left wing groups, especially Stalin's Russia – later Vietnam and China and North Korea). **Yet English and Americans can't defend capitalist-democracy because of what Keynes thought was the biggest problem: unemployment and stagnation.** So Keynes came up with the idea of welfare-capitalism (also democracy) with BIG GOV'T. In 1929, Wall Street crashed, and the

Western world went into 'GREAT DEPRESSION': high unemployment and no economic productivity (stagnation).

Therefore, most economists are now attacking Smith. In order to combat (fight), Great Depression he suggests that gov't be responsible for economy:

a) gov't should increase DEMAND (by giving people money)

b) gov't should be responsible for INFRASTRUCTURE PROJECTS (highways, roads, hospitals etc.)

Keynes was worried about unemployment for political reasons: he was afraid that unemployed people would attack capitalism as a whole and capture the entire economy and make it communism. Keynes wanted to save capitalism, from economic perspective fascists (extreme Right), from communists (extreme LEFT), from socialists (Left) – and capitalists (libertarians), i.e.,

Adam Smith's students. He then influenced an ideology what will later be called welfarism! (adopted in Nordic Europe)

Keynes's therefore believed that gov't can save capitalism: he believed in RATIONAL (intelligent) PLANNING (creating good society) However, Keynes will later be attacked by the

For Ricardo, we have to have free trades

following economists: HAYEK, and SCHUMPETER because

For Smith, individuals are the saviours

For Schumpeter, entrepreneurs are the saviours

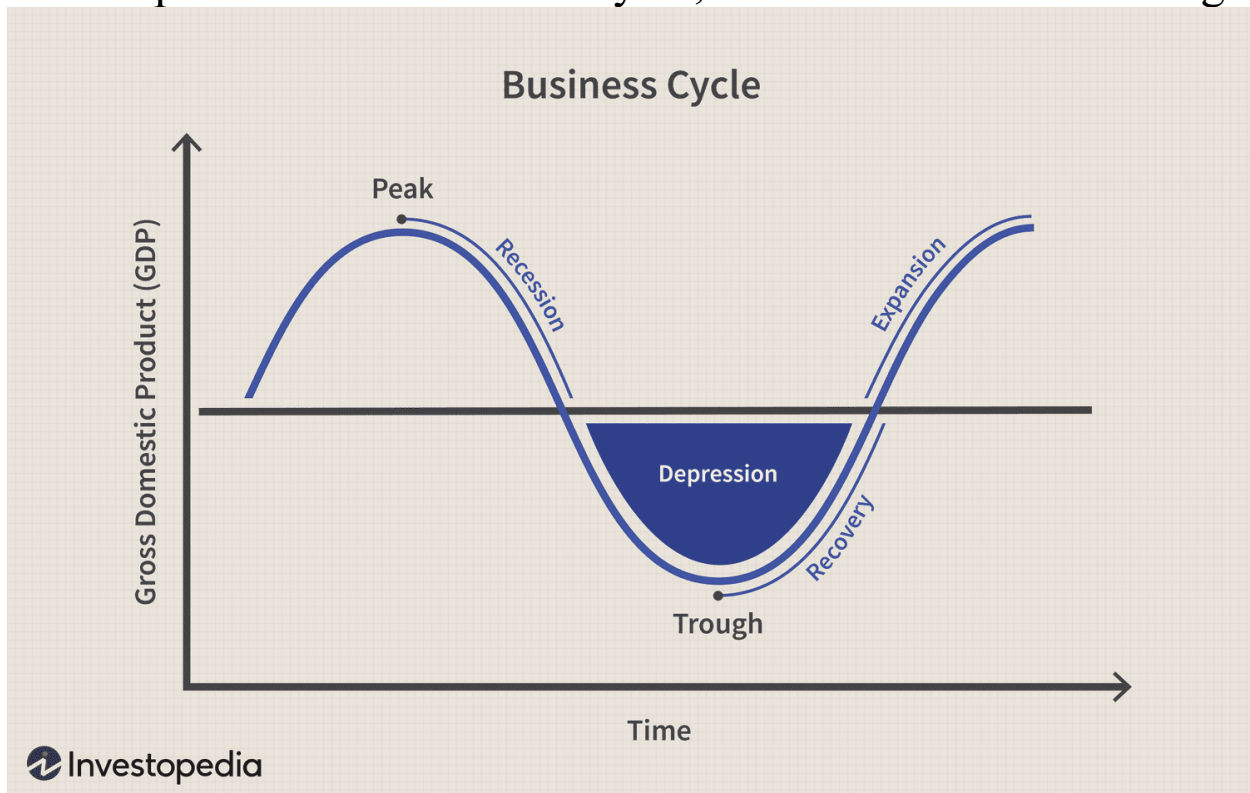
For Marx, labours/workers are the saviours

For Keynes, Gov is the saviour

fiscal policy: the policy that plans/increases the constructions of infrastructures, i.e., gov spending/investment
they believed that this would eventually lead to socialism/communism.

II. Business Cycle

Keynes coined several macroeconomics concepts, including his emphasis on fiscal policy, and the concept of business cycle. A business cycle indicates the fluctuation of the GDP (Gross Domestic Product) over time with regards to year. There are several phases of the business cycle, let's evaluate the following.



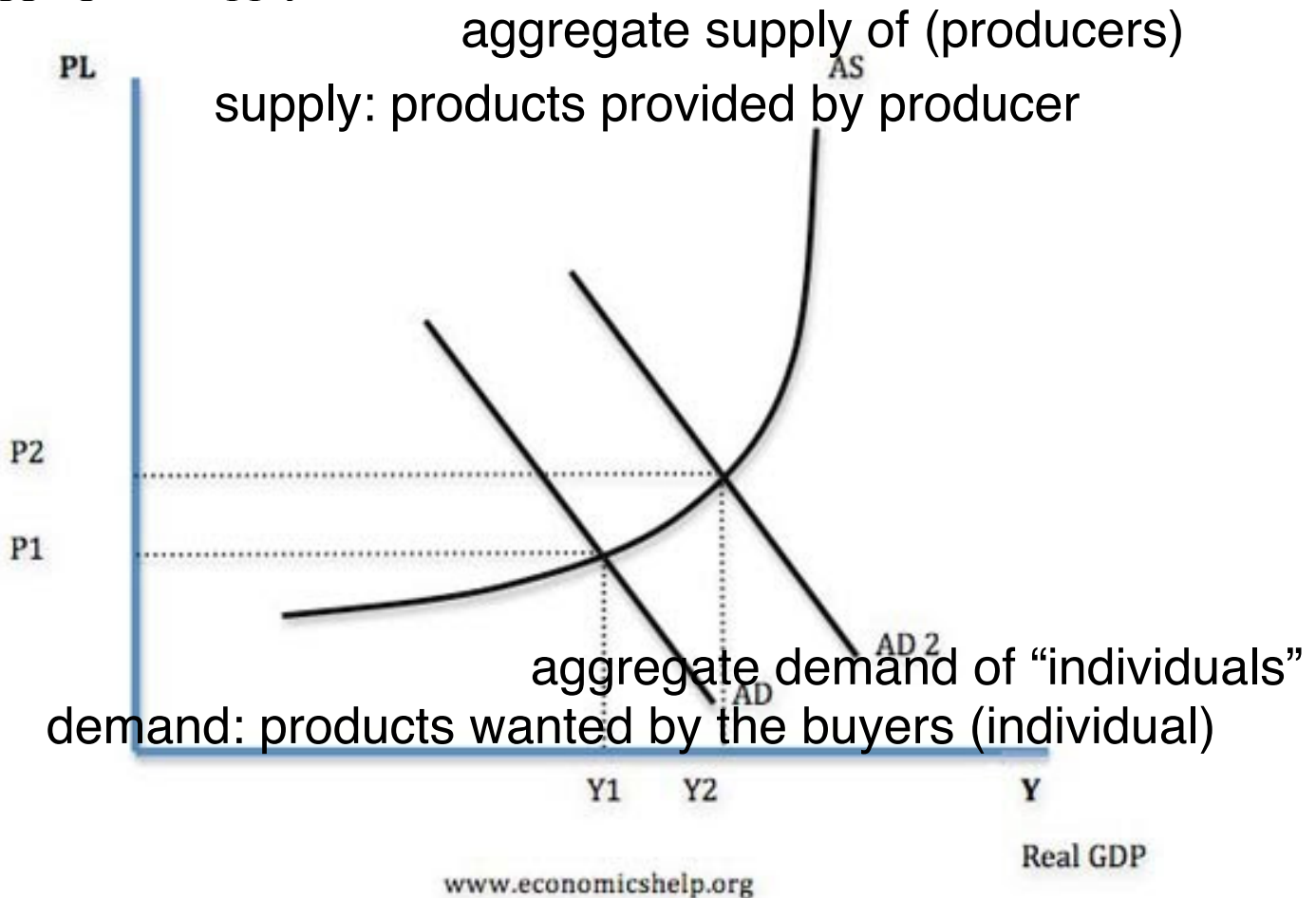
But, how is GDP calculated?

Let's do aggregation:

$$\begin{aligned} \text{GDP} &= \text{Consumption} + \text{Investment} + \text{Government Investment} + \\ &(\text{Export} - \text{Import}) \\ &= C + I + G + (X - M) \end{aligned}$$

Gross Domestic Product:	consumption=individual spending
gross=total	investment=investment in machines
domestic=nationally	Gov inv't=national defence, etc.
product= production	export-import = surplus of export

Or simply the **equilibrium** of the aggregated demand and the aggregated supply as show in the next slide



What is the difference between the GDP curves and the classical supplied-demanded curve?